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The double column cash book is prepared on the lines of simple cash book. It has only one additional column, i.e., discount column on each side. Discount column represents discount allowed on the debit side and discount received on the credit side.

In the discount columns, cash discount, i.e., cash discount allowed and cash discount received are recorded. The net amount received is entered in the amount column on the debit side and the net amount paid is entered in the amount column on the credit side. For the seller who allows cash discount, it is a loss and hence it is debited and shown on the debit side of the cash book. For the person making payment, discount received is a gain because less payment is made and it is credited and shown on the credit side of the cash book.

The cash columns are balanced. Discount columns are not balanced, since debit represents discount allowed and credit represents discount received. They are totalled, separately.

The format of double column cash book is given below:

Dr. **Cash book with cash and discount columns** **Cr.**

Date	Receipts	R.N	L.F	Amount `		Date	Payments	R.N	L.F.	Amount `	
				Discount	Cash					Discount	Cash



Student activity

Think: Cash account cannot have a credit balance. Why?

7.8.1 Balancing the double column cash book

The cash columns should be balanced as usual and the balance should be carried forward to the next date or period.

However, discount columns are not to be balanced. They are to be totalled on the debit side and credit side separately. The total of discount column on the debit side represents total discount allowed to customers and is debited to discount allowed account. Total of discount column on the credit side represents total discount received and is credited to discount received account. The periodical totals of discount columns are posted as under:

(i) Debit Discount allowed account as 'To Sundry Accounts as per Cash book', with the periodical total of the discount allowed column.

(ii) Credit Discount received account as 'By Sundry Accounts as per Cash Book' with the periodical total of the discount received column.